

FACTOR ETFS

Published rules, published positions

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Today

- 1 Five iShares funds and the factor each one buys
- 2 The index methodology is the strategy, published in full
- 3 Where the published rules run out
- 4 Positions disclosed every morning, and why the law requires it
- 5 What the five actually earned

THE FUNDS

Five single-factor funds

TICKER	FACTOR	INDEX	FIRST TRADE
MTUM	Momentum	MSCI USA Momentum SR Variant	2013-04-18
QUAL	Quality	MSCI USA Sector Neutral Quality	2013-07-18
VLUE	Value	MSCI USA Enhanced Value	2013-04-18
USMV	Minimum volatility	MSCI USA Minimum Volatility	2011-10-20
SIZE	Small size	MSCI USA Low Size	2013-04-18

None of these is an active fund. Each one tracks an index, and the index provider publishes the construction rules.

BlackRock runs the fund. MSCI defines what it holds.

The prospectus tells you the fund tracks the MSCI USA Momentum SR Variant Index. It does not tell you what momentum means. That definition lives in MSCI's methodology document — a free PDF, thirty-odd pages, with the formulas in it.

So the question “do they publish the strategy” has a better answer than most people expect: for these five, largely yes.

Who actually writes the strategy

THE RULES

Momentum, spelled out

MSCI builds a momentum score for every stock in the parent index:

- 1 Price return over the trailing 6 months and 12 months, each in excess of the risk-free rate
- 2 Divide each by the annualized standard deviation of weekly returns over three years
- 3 Standardize both into z-scores and average them
- 4 Winsorize at plus or minus three standard deviations
- 5 Weight by market cap times the momentum score

Rebalanced semiannually in May and November, with a conditional extra rebalance when market volatility spikes.

Quality and value

QUAL

Three inputs, equally weighted:

- Return on equity
- Debt to equity
- Earnings variability

Scored within sector, then held sector-neutral against the parent index.

VALUE

Three inputs:

- Forward price-to-earnings
- Price-to-book
- Enterprise value to operating cash flow

Scored relative to sector peers, so it does not simply become an energy-and-banks fund.

Why sector neutrality is in there

A naive value screen is mostly a bet on which industries are cheap.

Banks trade at low price-to-book because they are banks. Software trades high because it is software. Rank the whole market on price-to-book and you have built a sector rotation fund wearing a value label.

Scoring within sector strips that out, so what is left is the cheap bank against the expensive bank.

USMV is the honest exception. Its methodology states the problem exactly: minimize predicted portfolio variance subject to sector weights within five percent of the parent, single-name caps, and a turnover limit.

Every constraint is public. The covariance matrix is not — it comes from Barra's equity risk model, which is proprietary.

You can write down USMV's optimization problem precisely and still not reproduce its holdings. The objective function is a black box.

Where the published rules stop

THE POSITIONS

Published every morning

SEC Rule 6c-11, adopted in 2019, is why.

An ETF relying on the rule must post on its website, before the market opens each business day, the complete portfolio holdings that form the basis of that day's net asset value calculation.

Not a summary. Not the top ten. Every position, with quantity, market value, and percent weight.

What that gets you

Full holdings

Name, ticker, CUSIP, shares, market value, weight. A CSV on the sponsor's site.

Every business day

Yesterday's closing portfolio, posted this morning. Effectively T-1, not intraday.

No archive

The file is overwritten each morning. Sponsors keep no history — if you want a time series, start saving today.

How this differs from a mutual fund

An ordinary mutual fund discloses holdings on Form N-PORT: quarter-end positions, public sixty days later.

1 day

ETF DISCLOSURE LAG UNDER RULE 6C-11

~150 days

WORST-CASE MUTUAL FUND LAG

That gap is a design choice. Daily disclosure is what lets authorized participants price the creation basket, which is what keeps the ETF trading near NAV.

The funds that opted out

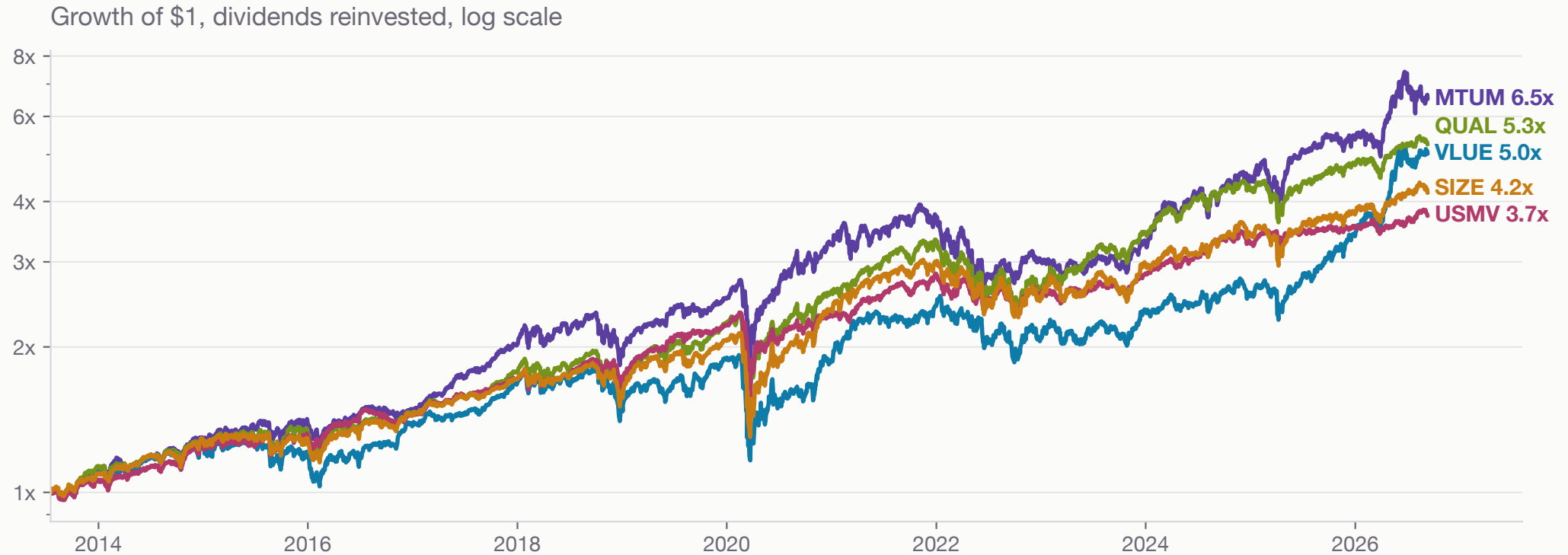
A small group of active ETFs — Precidian's ActiveShares, and structures from T. Rowe Price and Fidelity — obtained separate exemptive orders rather than relying on 6c-11.

They publish a proxy basket daily and real holdings quarterly.

The reason is exactly what you would guess. A manager whose edge is the trade itself does not want the trade printed at 9am.

THE RETURNS

Growth of a dollar



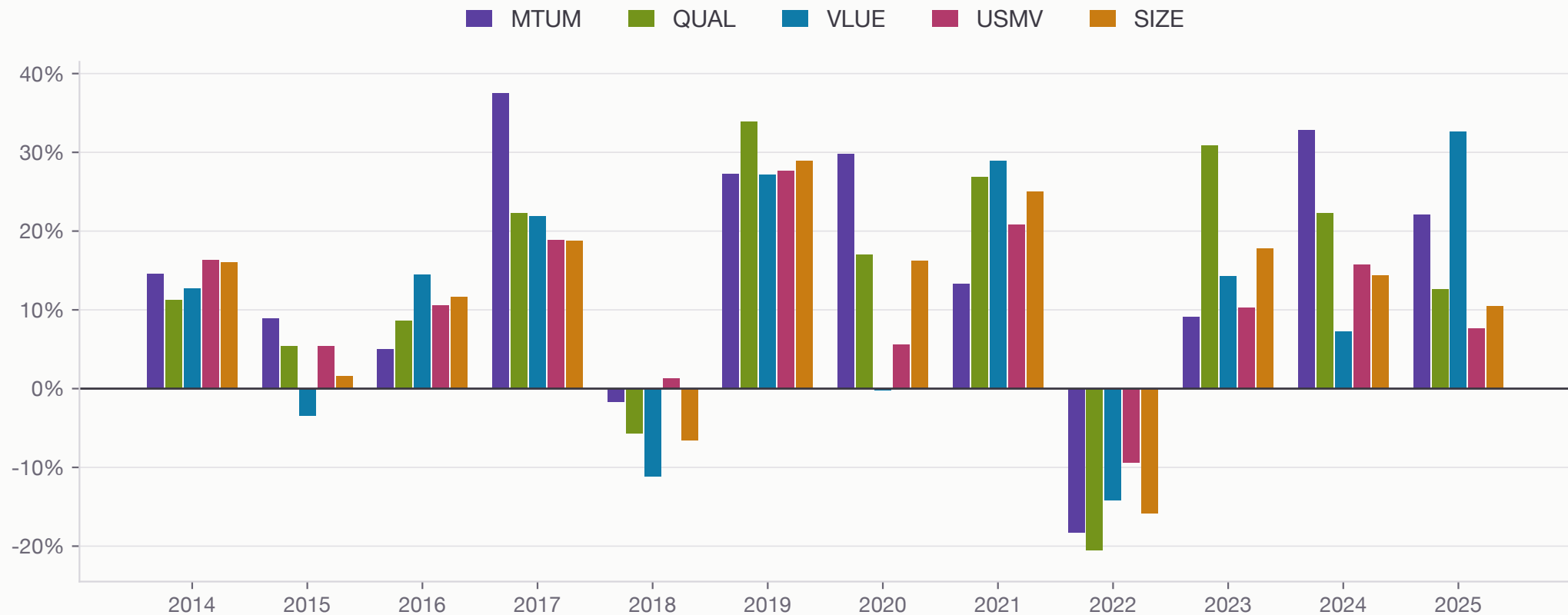
Common window since QUAL's launch. Yahoo Finance adjusted closes.

FUND	CAGR	VOLATILITY	WORST DRAWDOWN	RETURN / VOL
MTUM	15.4%	20.3%	−34.1%	0.76
QUAL	13.5%	17.1%	−34.1%	0.79
VLUE	13.1%	18.8%	−39.5%	0.70
USMV	10.6%	13.7%	−33.1%	0.77
SIZE	11.5%	17.4%	−39.2%	0.66

Momentum won on raw return. Adjust for volatility and the five funds are separated by very little.

Risk and return

Nobody wins twice running



Twelve years, four winners

4

CALENDAR YEARS WON BY MTUM

3

WON BY USMV, AND 3 BY VLUE

0

WON BY SIZE

No fund won two years in a row. USMV's wins include 2018 and 2022, the only two losing years in the sample — it did not outperform so much as fall less, which is the whole design.

SIZE never finished first, and still returned 11.5% a year.

Thirteen years is one sample. Five funds that all hold large US stocks are five correlated draws from it, not five independent tests.

The spread between best and worst here is about five points of annual return — real money, and also well inside what thirteen years of noise can produce.

What the table does not say

DOING IT YOURSELF

The replication exercise

- 1 Pull the MSCI methodology for MTUM, QUAL or VLU
- 2 Build the score from Sharadar fundamentals and prices
- 3 Form the portfolio at the last May or November rebalance
- 4 Download today's holdings CSV from the iShares site
- 5 Compare your weights to theirs, name by name

Try USMV the same way and you will get stuck, which is the point of having tried it.

Where the data comes from

- Prices for the five funds: Yahoo Finance, since `sep` in our database holds common stock only
- Fundamentals for building the scores: `sf1`
- Holdings: the sponsor's own CSV, or SEC Form N-PORT for the quarter-end snapshot

Save the holdings file the day you download it. Nobody sells you yesterday's.